

To summarize the matter of the third dimension of a truly conservative investment: It is necessary not just to have the quality of personnel discussed in the second dimension but to have had that personnel (or their predecessors) steer the company into areas of activity where there are inherent reasons within the economics of the particular business so that above-average profitability is not a short-term matter. Put simply, the question to ask in regard to this third dimension is: "What can the particular company do that others would not be able to do about as well?" If the answer is almost nothing, so that, as the business gets more prosperous, others can rush in to share in the company's prosperity on about equal terms, the evidence is conclusive that while the company's stock may be cheap, the investment fails to qualify as to this third dimension.